

Income Tax on Capital Market Transactions

CA Subin VR



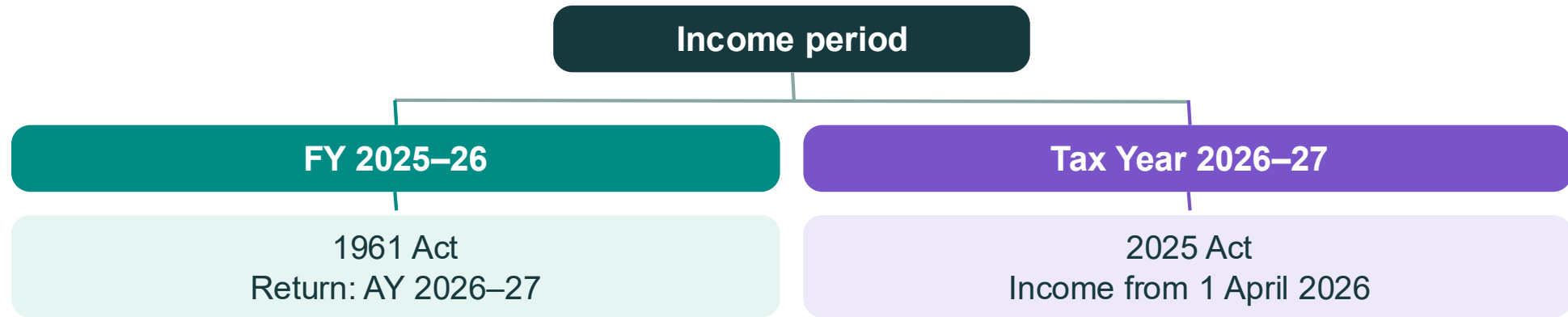
CA Subin VR • Updated 23 September 2026

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Which Income-tax Act applies?



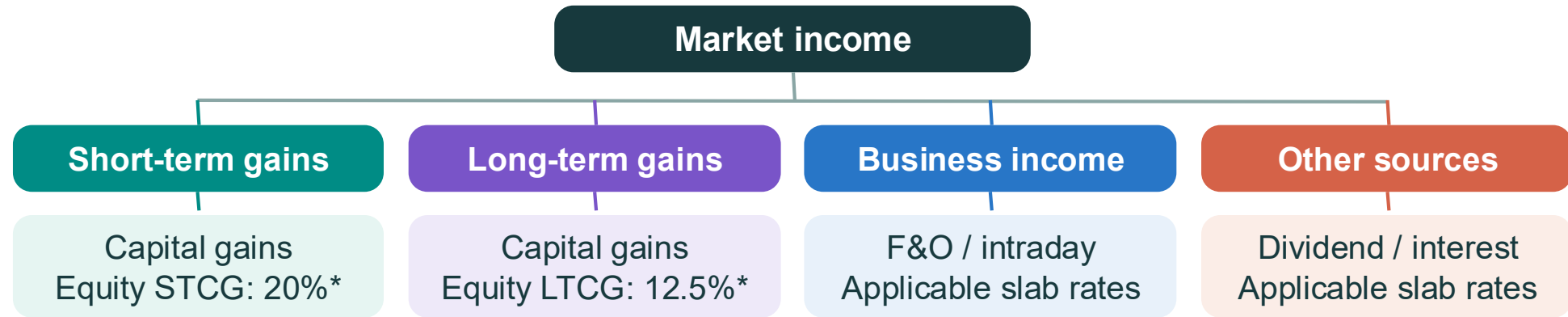
2025 Act: ss. 1, 3, 536 • ITR examples use notified AY 2026-27 forms

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Income from capital markets

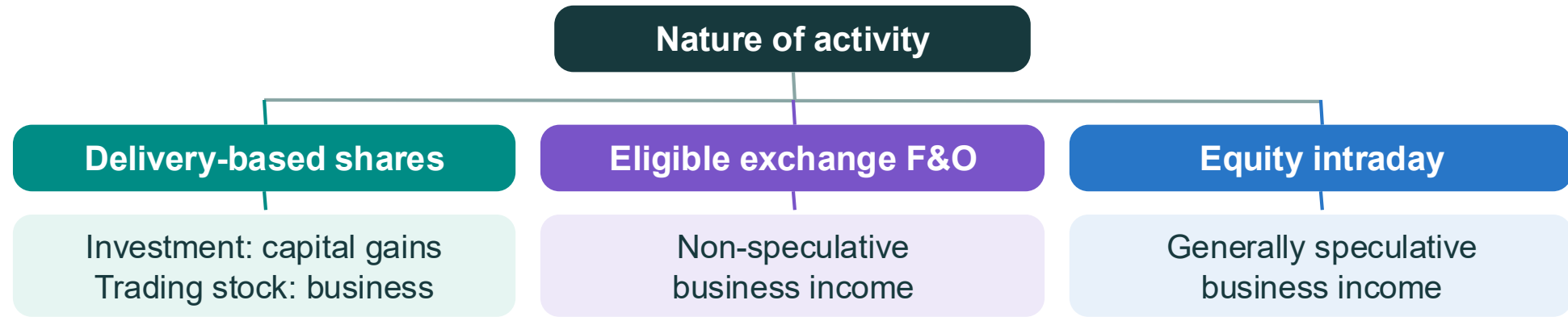


2025 Act: ss. 26, 67, 92, 196, 198 • *Qualifying equity and STT conditions; LTCG threshold ₹1.25 lakh

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Investor or trader?

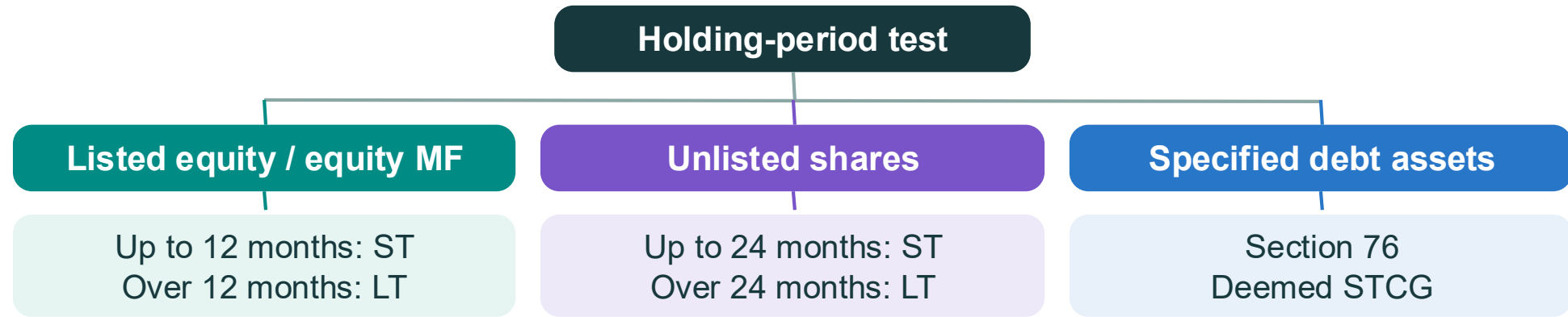


2025 Act: ss. 26, 66(31), 67 • Intention, records and consistency matter

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Short-term or long-term?

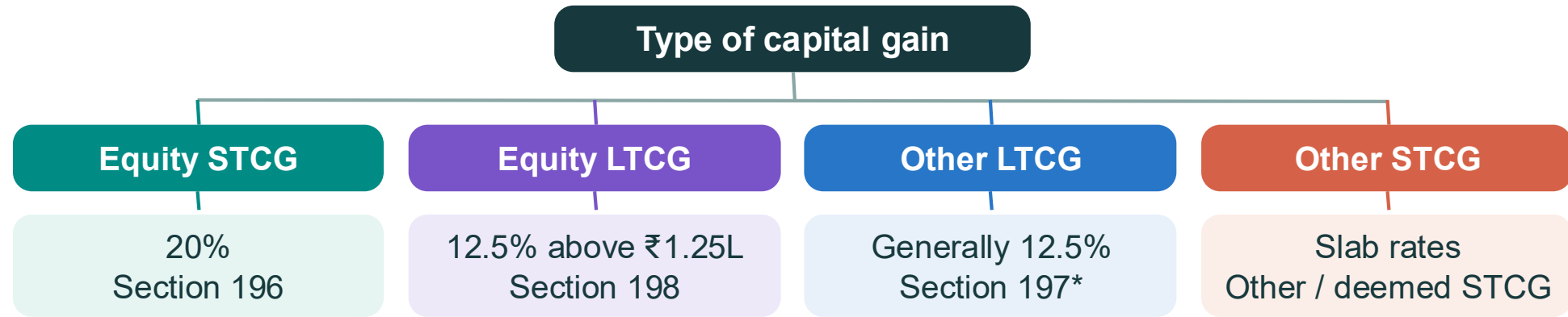


2025 Act: ss. 2(67), 2(101), 76 • Exactly 12 months is short-term for listed equity

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Capital-gains rates



Add 4% cess and applicable surcharge • STT conditions apply • *Property protection / exemptions may apply

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Capital gains: worked examples

Sale – cost – eligible expenses

STCG illustration

₹3L Sale – ₹2L Cos – ₹2,000 - Expense
Gain ₹98,000 → tax ₹19,600

LTCG illustration

Net Profit ₹2.25L – ₹1.25L threshold
₹1L × 12.5% = ₹12,500



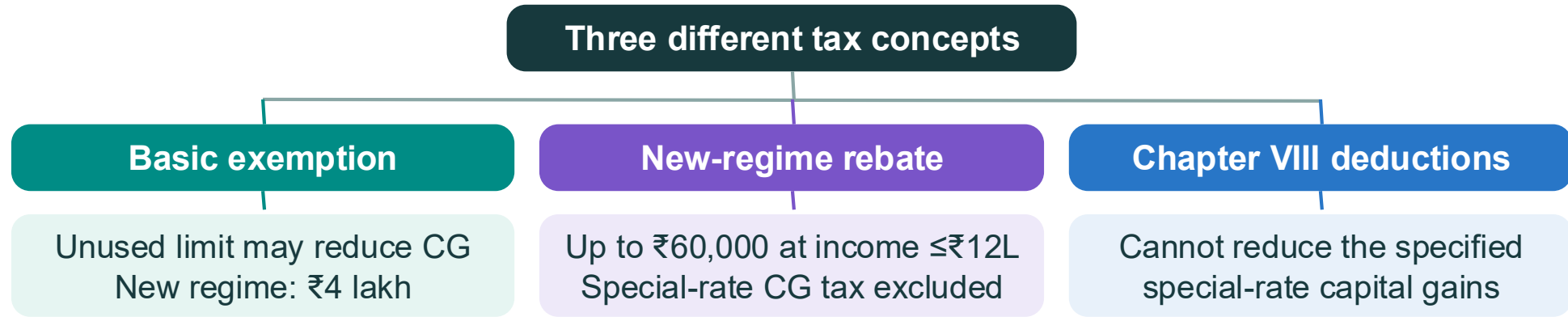
2025 Act: ss. 72, 90, 196, 198 • Before cess • Assume no unused basic exemption or losses • STT not deductible

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Exemption, rebate and deductions



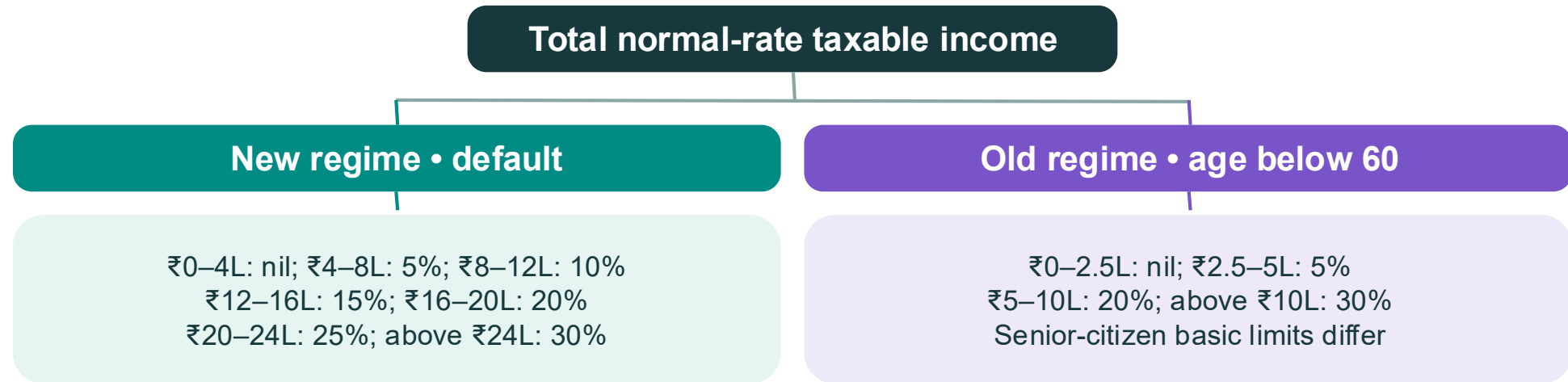
Resident individual focus • 2025 Act: ss. 156, 196–198, 202 • Old-regime rules differ

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F&O and intraday: slab taxation



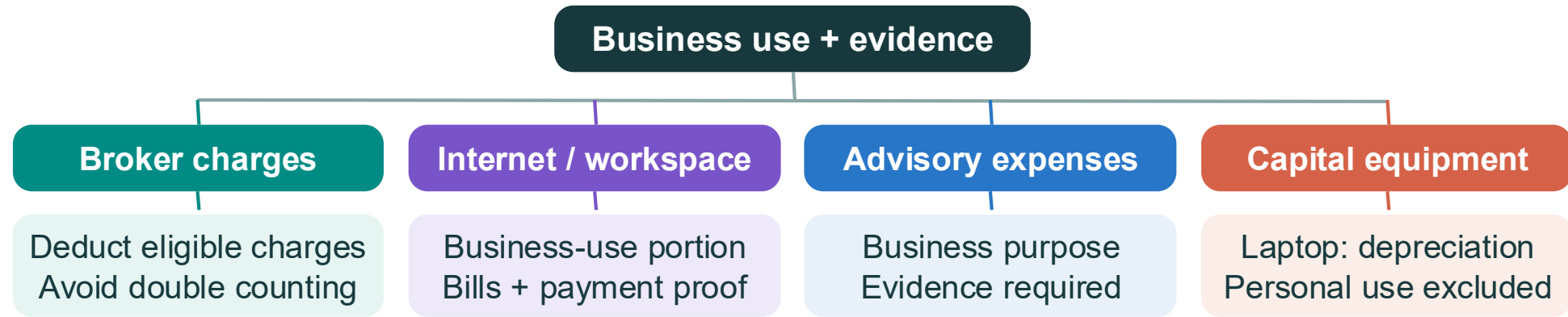
2025 Act: s. 202 / Finance Act, 2026 • Add cess and surcharge • Business-income regime switching is restricted

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Trading expenses: what can qualify?



2025 Act: ss. 28–35 • Capital-gains deductions differ • STT is not deductible against capital gains

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F&O turnover: settled futures



Turnover ₹80,000 **Not 80 lakhs** • **Net profit ₹30,000**



ICAI GN 2025, para 5.11(b) • Options: premium rule applies; avoid double counting. See speaker notes.

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Intraday turnover and tax audit

Turnover and audit are separate tests

Intraday example

+₹20,000 and -₹15,000
Turnover ₹35,000 / profit ₹5,000

Audit review

₹1Cr / ₹10Cr subject to cash tests*
Also check lower-profit s. 58(3)



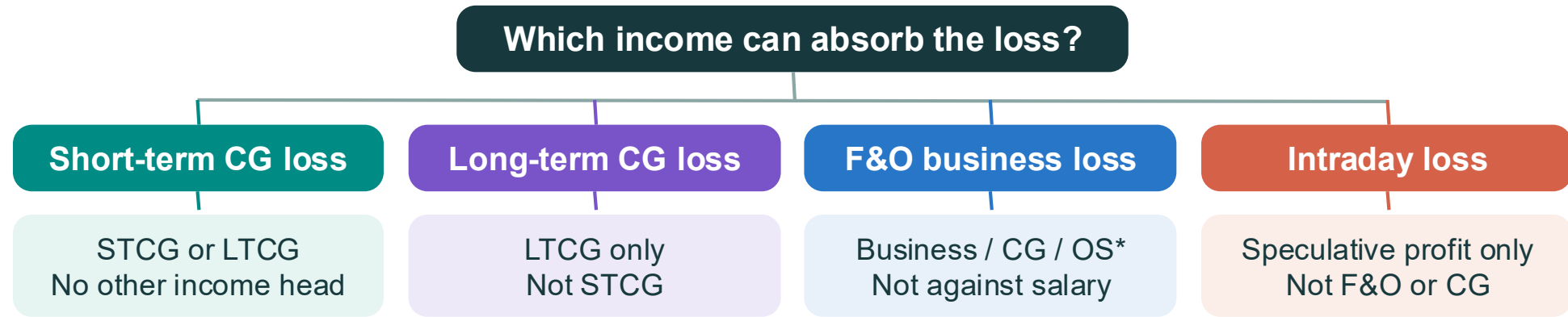
2025 Act: ss. 58, 62, 63 • *₹10Cr only if cash receipts and payments each ≤5% • Loss alone does not decide audit

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Loss set-off in the same year

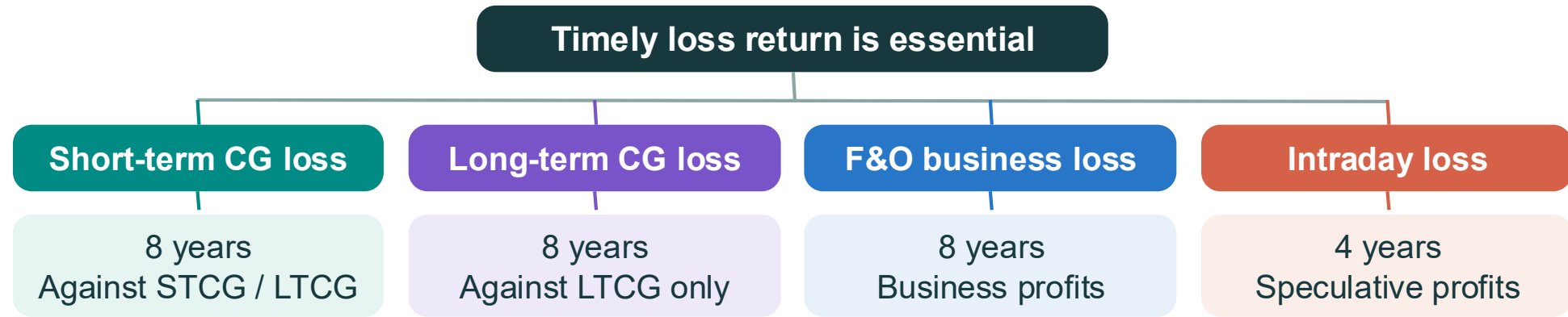


2025 Act: ss. 108, 109, 113 • *Subject to statutory restrictions • Carried-forward rules differ

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Carrying losses forward

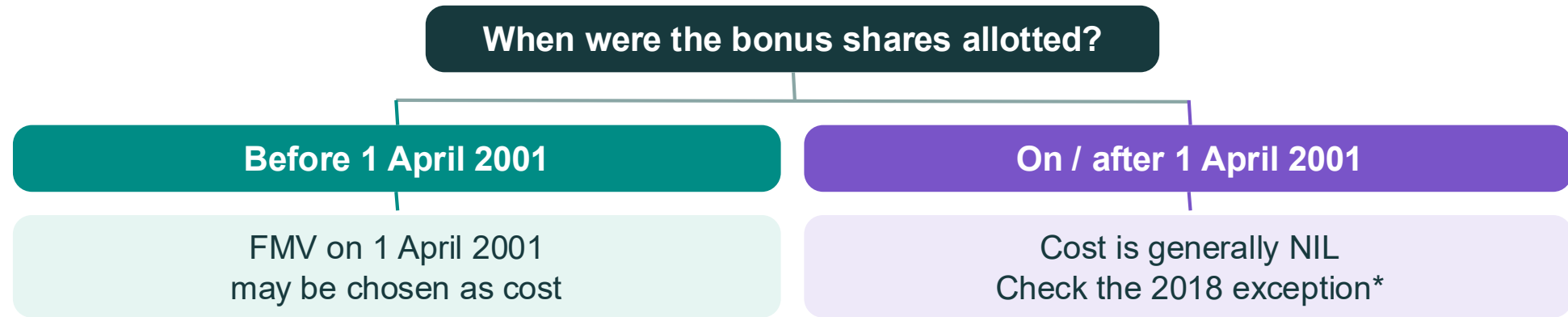


2025 Act: ss. 111–113, 121 and 263(1) • Earlier losses retain only their remaining carry-forward period

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Cost of bonus shares



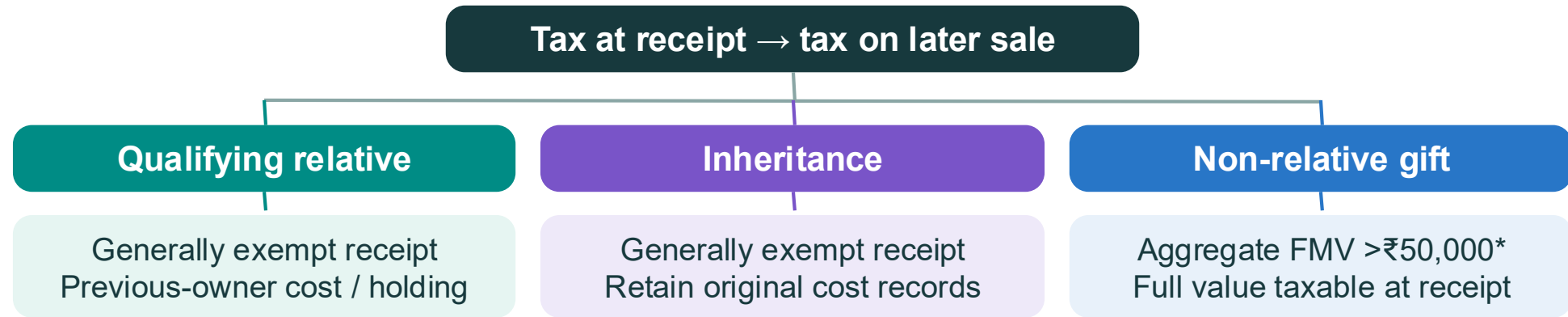
The key date is the bonus allotment date, not the original-share purchase date.

2025 Act: s. 90(5), (6)(d), (7), (9)(a) • *Eligible pre-Feb 2018 equity may qualify for grandfathered cost

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Shares received as gifts or inheritance

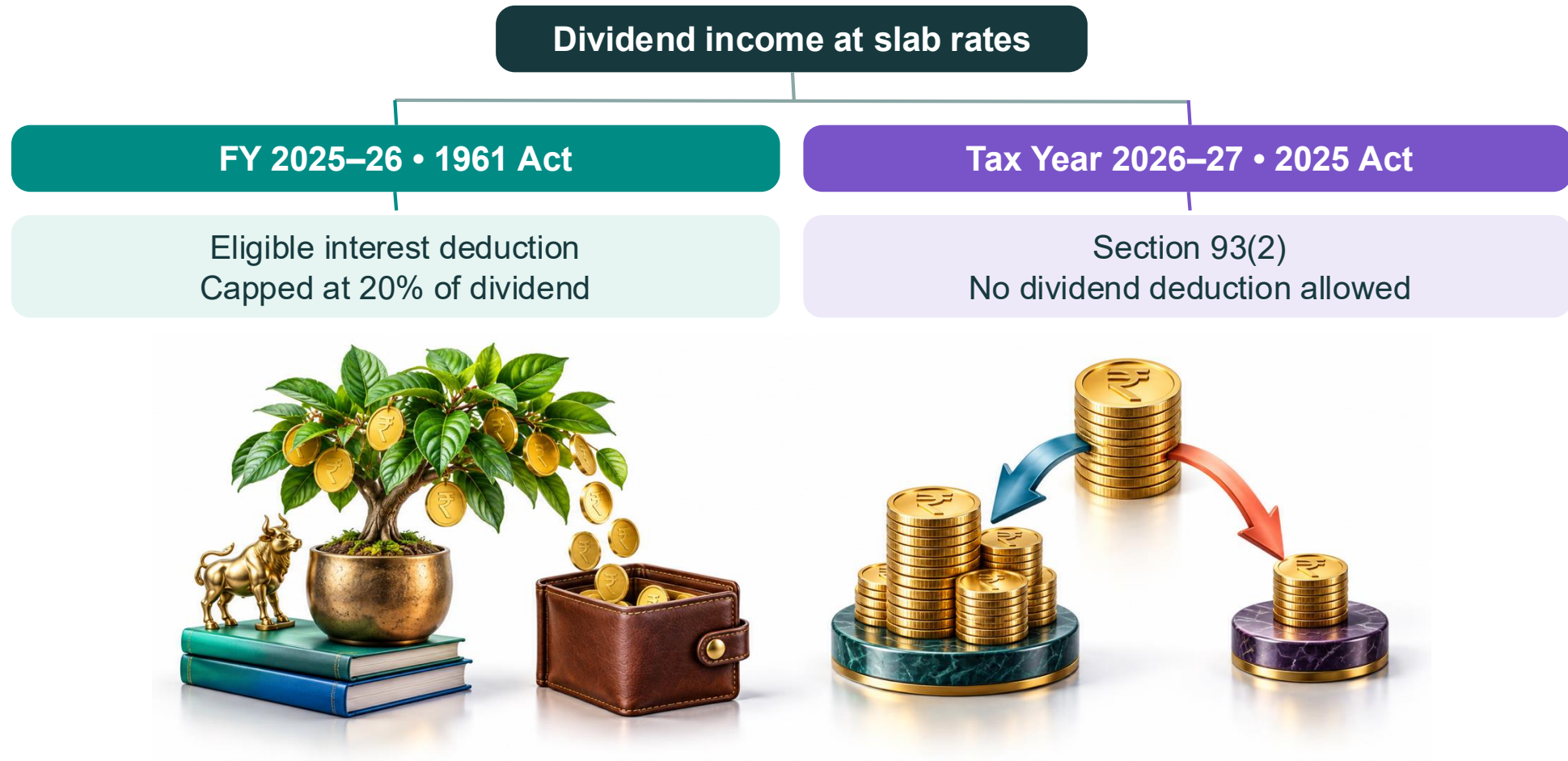


2025 Act: ss. 92, 73, 2(101), 99 • *Absent an exception • Value taxed can become cost • Clubbing may apply

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Dividends: the 2026 change

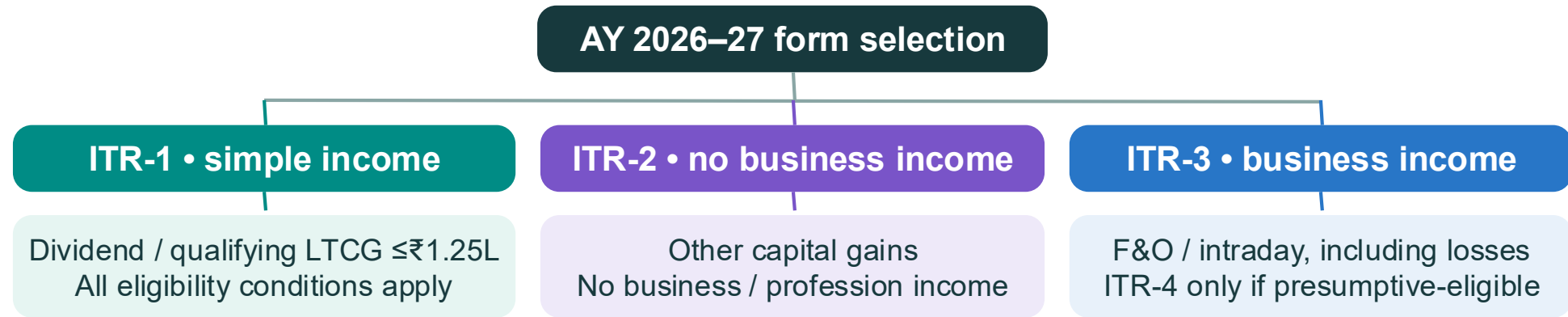


2025 Act: ss. 92, 93(2), as amended by Finance Act, 2026 • Report gross dividend; TDS is a tax credit

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Which income-tax return?

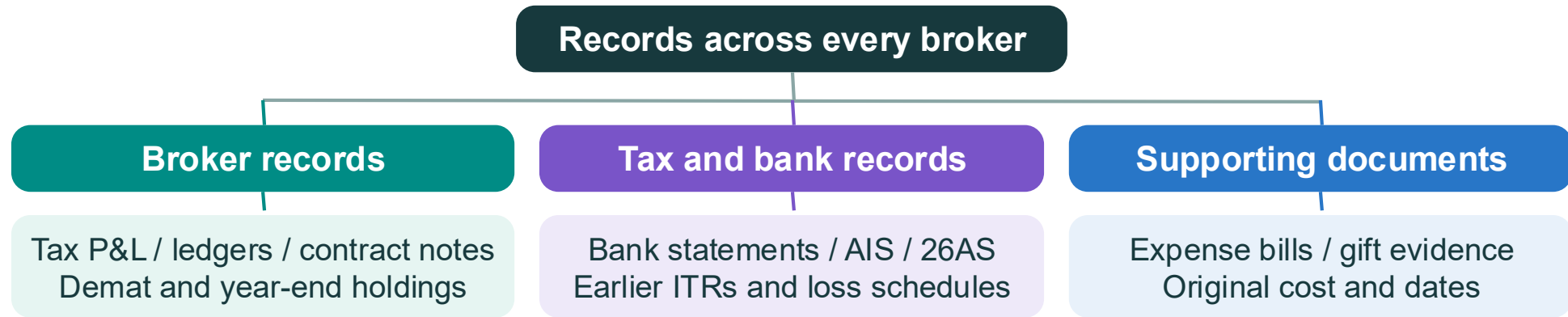


1961 Act forms for AY 2026–27 • ITR-1: no STCG or loss disqualification • Check relevant-year notifications

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Documents to preserve



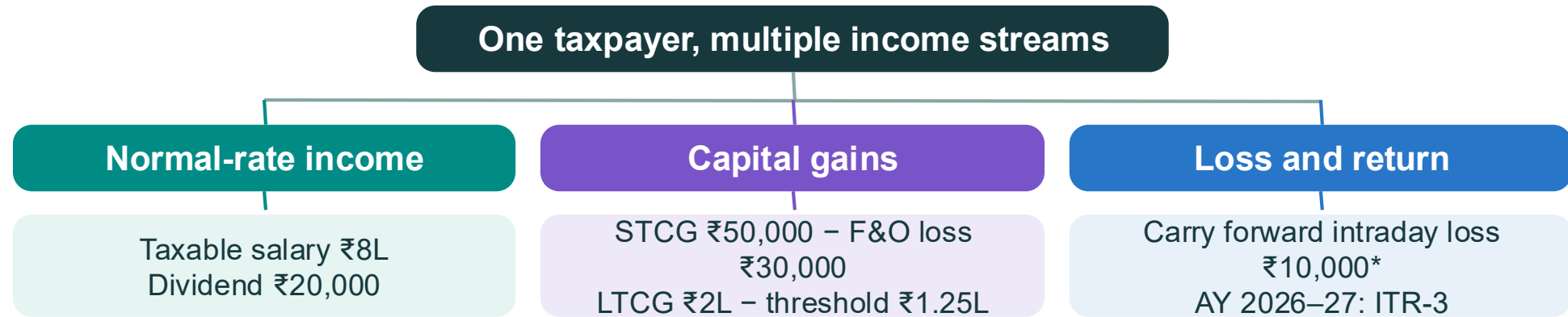
Reconcile all brokers • Review advance tax • File and e-verify on time • Preserve long-term acquisition history

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Putting it all together



Special-rate tax ₹13,375 before cess • Questions & discussion

Illustration before cess; no other losses / exemptions • *Timely return required • Full calculation in notes

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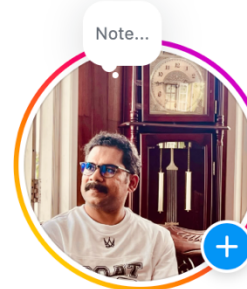
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Q & A



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